Case: The Hostel Kitchen

Market Simulation · case pack for contestants · Product · Consulting · Finance

Every squad plays this case from the draw to the close. Read the whole pack with your squad before Round 1; the data in the exhibits is all you need (and all the judges will expect you to use). Numbers are in rupees (₹) inside the case; the game's share prices and cash are in virtual US dollars ($).

Your squad	Track	Your job
The company	**Product**	Build the company that fixes this problem, pitch it, survive the crisis, finish with the most value
The advisers	**Consulting**	Shape the pitch, earn a fee, write the rescue plan, make BUY/SELL calls on two other companies
The investor	**Finance**	Seed the company, invest in its rescue, and trade the whole market with $500,000

1. The situation

Kaveri University, on the edge of a large Indian city, houses **4,800 students in six hostels**. All six are fed by one outside caterer, **Annapurna Mess Services**, on a contract that is renewed every March.

Every day the mess cooks for the number of students on its list. Many do not come: they sleep through breakfast, eat out with friends, or skip a meal to save money. What is not eaten is scraped into bins and carted away. At the same time, students who missed dinner spend ₹100–₹200 on late-night delivery, and the poorer ones simply go without.

The university's sustainability office has been told to cut food waste by half within a year. Annapurna has been warned that its next contract depends on it. Nobody yet has a way to get the food that is cooked to the students who want it.

Your problem card (#2, Food): *College hostels throw away a large share of the food they cook every day because demand is hard to predict.*

2. Exhibits

Exhibit 1 · The mess, by the numbers (a normal teaching week)

	Breakfast	Lunch	Dinner	Day
Plates cooked	4,200	4,200	4,200	**12,600**
Plates eaten	2,900	3,500	3,300	**9,700**
Plates wasted	1,300	700	900	**2,900 (23%)**

- Cost to Annapurna of one cooked plate (ingredients, gas, staff): **₹42**.
- Food thrown away per day: about 2,900 plates × 0.45 kg = **1.3 tonnes**; disposal costs **₹1.50 per kg**.
- Annapurna is paid **₹3,150 per student per month**. If the university's waste audit finds more than **20%** waste, Annapurna pays a **₹50,000 penalty** per audit (audits are quarterly).
- Dinner is served 7:30–9:30 pm. Food left at 9:30 pm is thrown away by 10:30 pm.

Exhibit 2 · Student survey (600 hostel residents, last month)

Question	Answer
Skipped at least one mess meal last week	**61%**
Buy late-night food (after 9:30 pm) three or more times a week	**47%**, average spend **₹110** per order
Would buy a fresh mess-cooked meal box between 9:30 and 11 pm at **₹50**	**68%** yes · at ₹70: **41%** · at ₹90: **19%**
Biggest worry about eating leftover mess food	Hygiene **52%**, taste **24%**, being seen **9%**, none **15%**
How they pay for small purchases	UPI **92%**, cash **8%**
Would pick up from a counter at their own hostel	**83%** · would walk to another hostel: **31%**

Exhibit 3 · What things cost

Item	Cost
Compostable meal box with lid	₹7 each
Insulated carrier (holds 20 boxes, keeps food above 60 °C for 90 min)	₹1,800, lasts about two years
Student counter staff (part-time)	₹120 per hour
Food-safety training and certificate, per kitchen	₹6,000, once
Commercial chiller, 300 litres	₹48,000, electricity about ₹40 a day
UPI payments	free
A simple ordering app or WhatsApp bot (build)	about ₹60,000, or ₹4,000 a month for a ready-made tool

Exhibit 4 · Alternatives students and the mess have today

Option	What it costs	Weakness
Night canteen on campus	₹90 a meal	Closes at 11 pm; one location, long queues
Delivery apps	₹180 average with fees	35–50 minutes; not allowed inside two hostels after 11 pm
"Roti Bank" NGO	Free	Collects surplus only on Sundays, for people outside campus
Cook less	–	Annapurna tried it in 2025: complaints and 3 days of shortages in two weeks

Exhibit 5 · Who decides

- **The university** (sustainability office and the chief warden) must approve anything sold inside the hostels.
- **Annapurna** owns the food until it leaves the kitchen, and is keen on anything that cuts the penalty and the disposal bill.
- **Hostel councils** (student-elected) control counter space and can promote, or kill, a new service in a week.

3. The night, round by round

The platform enforces every limit below; your screen always shows the real deadline.

Round 1 · Build and IPO (21:00–00:30)

Product: the pitch (≤ **400 words**, submitted by Product, hard close **22:30**). Use the six sections:

1. **The problem**: who suffers and how much, with numbers from Exhibits 1–2.
2. **The solution**: what you sell, when, where and how it stays safe.
3. **Customers**: who pays (students? Annapurna? the university?) and why they will.
4. **How we make money**: price, cost and margin **per box**, and how many boxes a day you need to break even.
5. **Our advantage**: why a copycat cannot simply do this next term.
6. **Use of seed money**: what the $50,000 seed buys, first.

Also choose a **company name** and a unique **3–4 letter ticker**.

Consulting. Read and improve the pitch in your squad's workspace (only Product submits). Then study your **two assigned companies** (outside your squad) and make **call 1: BUY or SELL** on each by **23:15**: will the price after trading round 4 be above its IPO price?

Finance. Read the pitch book, then ask sharp questions on the public **Q&A board** (founders answer in ≤100 words). From **23:15 to 23:30** bid in the **IPO**: 0–4,000 shares per company, never your own squad's company, and no more than your cash at IPO prices. A company whose bids exceed its 35,000 shares is scaled down.

How the pitch sets the IPO price: the judge's score (median of three readings) → **90–100 or 80–89: +10%**, 70–79 or 60–69: +5%, 50–59: 0, 40–49: −5%, below 40: −10% → **IPO price = $10.00 × (1 + tier)**.

Pitch rubric	Points
Problem	25
Solution	25
Business model	25
Advantage	25

Round 2 · Crisis and rescue (00:30–03:00)

At **00:30** trading halts and your crisis card arrives. Every company is hit; both its market price and its AI price fall **15%**. That new market price is your **post-crisis price**. For this case, the crisis is:

> **Crisis (Regulation): the food-safety rule.** From next month, cooked food may leave a hostel kitchen only if it is **kept below 5 °C** until it is served, or **served within 2 hours** of cooking. The first inspection is in 30 days; a kitchen that fails is shut for a week. Annapurna's dinner is ready at 7:00 pm, so a 9:30 pm box is 2½ hours old.

Product + Consulting: the fee (agree by **01:05**). $10,000–$35,000, paid in cash and/or up to 3,000 of Product's shares counted at the IPO price. Both teams confirm; otherwise a **$22,500 cash** default moves at 01:05.

All three: the rescue deal (sign by **02:45** for the consultant's $5,000 bonus; at the latest by 03:00).

- Consulting sets the **price**: 50%–100% of the post-crisis price.
- Finance sets the **amount**: $40,000–$80,000.
- Shares moved = amount ÷ price (rounded down). Any edit clears every signature.
- **No signed deal at 03:00 = the rescue plan is capped at 50.**

Product + Consulting: the rescue plan (≤ **500 words**, one shared editor, hard deadline **03:00**, late = 0). Use the seven sections: **The crisis · The new plan · The money · The rescue deal · Time to recovery · Risks · Next three steps.** The judge also reads your pitch, the crisis card and a summary of your deal.

Plan rubric	Points
Solves the crisis	25
Money logic	20
Funding and deal	20
Time to recovery	15
New risks	10
Next steps	10

Finance keeps trading (rounds 5–12, break 01:45–02:00). Long ≤4,000 shares per company, short ≤2,000 per company and ≤$250,000 in total, buys reserve price × 1.10, shorts need 150% collateral.

Round 3 · Verdicts, flash news and the close (03:00–05:40)

03:00–03:30 every plan is published, without scores. **03:30** the verdicts: the plan tier moves **both** prices: **90–100: +25%**, 80–89: +20%, 70–79: +10%, 60–69: +5%, 50–59: 0, 40–49: −10%, below 40: −20%.

Consulting: call 2 by **03:40** (judged after the flash, 04:20) and **call 3** by **04:30** (judged at the close), on your two assigned companies.

04:00 Flash news. For this case the bulletin is:

> **Flash: Cooking-gas cylinders up 25% from tonight.** The price of commercial LPG rises 25% for at least three months. Caterers, canteens and restaurants say meal prices will go up within a week.

Product (or Consulting): the flash answer (≤ **100 words**, by **04:15**): what changes in your business, in numbers, and what you do about it this week. Tier at **04:20**: 70+: **+5%**, 50–69: 0, below 50: **−5%**.

Flash rubric	Points
Responds to the news	50
Realistic	30
Clear	20

Finance trades rounds 13–21 (10 minutes each). At **05:00** shorts are covered and the **closing price** is fixed: **½ × (average of the round 20 and 21 prices) + ½ × AI price**. The AI price only moves with the judges' scores: IPO price × 0.85 × (1 + plan tier) × (1 + flash tier).

4. How you win

Track	Final value	Tie-break
Product	retained shares × closing price + cash	higher plan score
Consulting	cash (fee + plan bonus $500 × (plan − 50) + $5,000 deal bonus + $2,500 per correct call) + fee shares × closing price	higher plan score of your squad's company
Finance	cash + long shares × closing price − short shares × closing price, ranked on return on $500,000	smaller largest single position

Awards: top 3 in each track · best turnaround (closing ÷ post-crisis price) · best rescue plan · best-judging fund (portfolio at AI prices only).

Fair play. Lines addressed to the judge are removed; a second offence costs 10 points. Collusion flags (funds piling into a weak company, look-alike order books, sweetheart fees or deals) are reviewed by the faculty fairness officer.

5. Worksheets

A. Per-box maths (Product, Round 1 and Round 2)

Line	Pitch	After the crisis
Price to the student (₹)		
Paid to Annapurna per box (₹)		
Box and packaging (₹)		
Staff per box (₹)		
Other cost per box (chiller, app, training ÷ boxes) (₹)		
Margin per box (₹)		
Fixed costs per month (₹)		
Boxes a day to break even		

B. Fee and deal (Product, Consulting, Finance)

	Value
IPO price ($)	
Post-crisis price ($) = market price at 00:30 × 0.85	
Deal price band ($): 50% to 100% of post-crisis	____ to ____
Fee: cash ($) + shares × IPO price ($) = total (must be $10,000–$35,000)	
Deal: amount ($) ÷ price ($) = shares (round down)	
Product's shares left after fee and deal (60,000 − fee shares − deal shares)	

C. Fund plan (Finance)

Company	IPO bid	Thesis in one line	Plan risk (high / low)	Max position	Exit trigger

D. Consultant calls

Company	Call 1 (by 23:15)	Call 2 (by 03:40)	Call 3 (by 04:30)	Why
	BUY / SELL	BUY / SELL	BUY / SELL	
	BUY / SELL	BUY / SELL	BUY / SELL	